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OBJECTIVES OF TAX AUDIT

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INTRODUCTION

The topic assigned to us by CIAT -Tax Audit Objectives- does not give us margin for extensive discussion. However, although the field may be limited, we have focused it from the point of view of its connections with the environment in which it is found and from which it receives its basic input.

We shall open our presentation of the topic with a discussion of the modern characteristics of the State.

We have classified the objectives of tax audit on the basis of overall criteria and have tried to base ourselves, as much as possible, on the theoretical principles of administration by objectives.

In this manner, we came to the definition of overall objectives, of specific objectives, and of direct and indirect objectives of tax audit to give an idea of their scope of action as an extension of the activities included in tax audit, and as an adjustment to the effects of economic development.

We are certain that the debates at these technical sessions of the CIAT meeting will result in valuable contributions to the topic in view of the experienced contributions the illustrious participants at this Tenth Technical Conference may make on the compatibilization of the objectives of tax audit with those of the social-economic model under study.

TOPIC: TAX AUDIT OBJECTIVES

1.- THE MODERN STATE AND TAX ADMINISTRATION

The fact that the changes undergone by administration are a result of the requirements of the modern State is a well-recognized fact since the Modern State has an active participation in action aimed at the promotion of economic development.

The changes made in the role of the State and in its institutional organization have generated new administrative systems which, in terms of development, assume the contents and appearance of the Modern State itself.

The postulates on which the functions of the State may be defined are the following:

- a) the need to channel social change (development represents unique and irreversible social changes).
- b) inferred evolution representing the transition from the State as a social agent rendering services to the State producer of goods, and from its role as secondary participant to that of major participant in economic development.

Modern governments are concerned with the attainment of new objectives of the economic-social type and must, to this effect, organize themselves in a more rational and logical manner. The type and amount of problems to be faced by these modern governments require administrative units capable of rapidly and effectively reacting to political stimuli.

In order to make changes in society, it is necessary to change the atmosphere to be found in public administration and this atmosphere may be defined as being the behavior of those under its influence.

An economic policy for development has an impact on many spheres of activity and it relies on the tax system as one of its instruments. Planning for tax Administration is connected with the attainment of the means necessary for the promotion of rapid economic development.

The existence of connections between aspects of economic development and tax policy is unavoidable and any changes made in areas of action of the State carry with them changes in the tax field.

We are at present faced with a State pursuing objectives that may be grouped into the following activities:

- a) activities aimed at regulating the behavior of economic agents.
- b) activities connected with the production of goods and services (with those essential to the role of the State itself and with those parallel to others provided by the private sector).
- c) activities connected with the accumulation of capital (those aimed at providing the capital necessary for its activities in the field of production and those representing external economies).
- d) activities in the field of financing (actions providing the resources to enable the State to accomplish its production goals, its activity of accumulation, as well as actions aimed at the transfer of revenue from the private sector)

The tax system is also no longer just a basic instrument for the supply of the revenue required for the attainment of governmental programs. It now has other economic effects such as that of channeling investment to problem areas, of granting incentives to exports, of having an influence on the process of substitution of imports, and of increasing or decreasing consumption.

The State is at present formulating a tax policy essentially aimed at the collection of revenue, at the establishment of fiscal justice and at economic development.

The utilization of the tax system in the formulation of policies for economic development is dependent on an administration capable of handling the process by means of its inter-related sections. The actual effectiveness of the enforcement of the tax system and the impact it may have on economic forces is closely connected with the ability with which the administration may play its role

in attaining the cultural and social acceptance of tax policy.

Tax audit is included in the areas of action of the tax system which require -in view of the needs of economic development- a re-definition of its guidelines so that it may be more in accordance with reality and with future projections. Precisely the new variations brought about by economic and social development are the ones providing the new dynamics that are to characterize fiscal action.

In view of the development of public administration and of the ample aims of the modern State, tax controls are to evolve from a type of audit only aimed at the verification of isolated actions and procedures, to an integral type of audit based on indicators of corporate results and on the ensemble of information provided by organizations within the public sector so that it may promote the process of political, economic and social development.

2.- TAX AUDIT - FUNCTIONS

Tax audit tasks consist of a verification of the accounting system and of the internal controls used by the enterprise under audit so that the faithfulness of elements found in documents may be ascertained as well as that of other records presented to the Tax Office. These are the bases for the calculation and assessment of the tax liability owed to the Union. Upon a final analysis, its mission may be summarized as being that of safeguarding and protecting public revenues.

Tax audit has a distinct role within the social context. Its action is aimed at promoting an increase in voluntary compliance with tax legislation on the one hand and, on the other, at ensuring an adequate prevention and repression of tax evasion, tax delinquency and contraband, as well as any other type of tax offences, including the more serious offences representing criminal actions.

The improvement and efficiency of the system are necessarily conditioned by the economic and social factors that it is not able to ignore.

Fiscal action is, consequently, a valuable instrument for the economic development that is at present strongly promoted in the country. It represents both an instrument for action in the field of taxpayer education and a tool capable of repressing marginal actions so as to ensure the practical attainment of the economic expectations deposited in the fiscal instrument.

Its highly specialized action supported on legal, accounting and technical bases contributes to fiscal justice by allowing for a fair competitive market, for a strengthening of free enterprise and for the control of unfair competition on the part of those wishing to compete in the market on the basis of partial tax evasion or of the total elimination of tax costs.

In strengthening productive units, tax audit prevents unfair competition in the domestic market when this unfair competition is represented by tax evaders and, -at the frontiers-, by the entry and abnormal transit of foreign products. It is an instrument for the protection of national production that plays a valuable role in the sphere of National Security.

3.- OBJECTIVES OF TAX AUDIT

Fiscal action in its basic concept may be defined from a twofold viewpoint: that of preventing and that of repressing. The importance of preventive action is increasingly accentuated. The modern concept of Tax Audit adopted by tax administration on the basis of advanced techniques goes beyond the obsolete concept of tax audit as a mere repressive function, and the existence of experts is sufficient to inhibit illicit actions, errors and fraud. When supervision is based on technical guidelines it is sufficient in itself for the creation of an atmosphere of respect towards legal requirements, and of discouragement towards actions leading to delays or deviations in the collection of fiscal revenue.

Although an improvement in consciousness on the part of the Brazilian taxpayer cannot be doubted, and although numerous educational campaigns have been launched and successfully carried out by the Secretariat of Federal Revenue, Tax Audit faces the appearance of sophisticated maneuvers aimed at acting in the detriment of the interests of the Treasury, as well as the existence of taxpayer groups which are still reluctant to comply with their tax obligations.

For this reason, repression is necessary. The neutralization or elimination of these harmful processes and the integration of delinquent sectors require an adequate organization of tax audit systems, increasingly refined equipment and the availability of expert personnel which is to possess not only extensive knowledge in the accounting, legal and economic fields, but which is also to possess technical-managerial knowledge and all of the qualifications necessary for the performance of audit tasks.

3.1. Establishment of objectives

When objectives are clearly stated and defined in terms of the forecast results, they are of assistance in the efforts made by all those participating in the administration of the major objectives and they substitute an exhaustive definition of tasks.

A definition of the objectives pursued by means of tax audit seems to be a logical introduction to the study of the elements composing the system. It is the reference framework for the comparison of the yields derived from the fiscal system.

Objectives are to be imagined as being an ensemble of situations which, when attained, will satisfy the needs of tax administration.

Tax administration is to clearly establish the results to be pursued through the mobilization of its machinery as well as the terms within which they are to be obtained. As any other type of activity, tax audit is also to know which are the results expected from it.

The objectives established at higher tax administration levels characterize the institution itself and provide the guidelines for action at all organizational levels. These objective are usually ample, of an overall nature, of long term attainment and of a mediate nature.

Some of these objectives are overall objectives applicable to the organization as a whole, other objectives are specific objectives applicable to the units composing the whole, or they are objective detailing aspects of the overall objectives. Once that overall objectives have been established, they act as elements conditioning specific objectives and as guidelines for the adoption of methods and audit techniques, as well as for the selection of the human resources.

The administrator at the operational level will define the overall objectives for his field of action on the basis of the guidelines set forth by the central organization.

This differentiation determines the need for a compatibilization of the objectives assigned to subordinate operational units between themselves and with the basic objectives of the organization.

Another aspect is that of the degree of understanding of the objectives disseminated throughout the organization so that whatever is to be derived from them is uniformly understood by those in charge of their implementation.

To what does the tax objective contribute to the plan for social development of the Government?

Maximizing voluntary compliance with tax obligations is the major objective of tax system and this objective is also of importance in creating respect toward the Government. The motivation leading taxpayers to compliance with, or to negligence of, their tax obligations is reflected on the variables involved in the problem of channeling social and cultural development at the different stages of economic development. Emphasis on programs aimed at the attainment of this type of objective is to be greater in those countries in which compliance with tax legislation is relatively low, more than in those countries in which this problem is not so acute.

Procedures aimed at the attainment of objectives must always be compatible with the functions to be performed by the system. Another type of relationship exists with audit policies which may be explained as follows:

- voluntary compliance relies on the taxpayer's certainty that others just like him are complying with their obligations.
- the acceptance of the obligation to pay taxes as being a civic duty is based on the fact that taxpayers should not have to pay in excess of their obligations so as to offset the reluctance to pay on the part of others.
- all of tax audit is to be aimed at not allowing for the impunity of those who try to undermine the fiscal system by means of tax evasion.
- the obligation to pay is to be accepted without too much reluctance and without resorting to evasive maneuvers.
- the fiscal system will take as a parameter for its action the consequences which may be derived from excessive taxation and from taking the tax burden as being the only formula to provide for the financial needs of the State.

3.2. Types of objectives

3.2.1.- Overall Tax Audit Objectives

- a) To encourage, attain and expand voluntary compliance with tax obligations.
- b) To act on the taxpayer universe, enforcing tax legislation in a fair, balanced and coherent manner so as to ensure equality among the components of the economic system.
- c) To make fiscal controls effective so that tax evasion may be minimized and so that the revenues of the State may reach satisfactory levels.
- d) To incorporate reluctant taxpayers to the universe of taxpayers.
- e) To erradicate processes which are detrimental to the interest of the Treasury by means of the adoption of new techniques aimed at defeating sophisticated methods for tax evasion, and at the incorporation of taxpayer sectors which are still outside the scope of tax administration.
- f) To evaluate the adequacy of tax laws and regulations to the social economic and financial reality of the country.
- g) To study cause and effect situations in entrepreneurial management so as to detect their relevance to economic development.

3.2.2.- Specific Objectives of Tax Audit

- a) to promote consciousness on tax obligations by means of educational action so as to discourage omissions, evasion and other types of delinquency.
- b) to verify compliance with tax legislation by means of relatively exhaustive audits and by means of careful in-depth studies in certain pre-established periods.
- c) to make the tax system more operational from the point of view of the improvement of audit techniques.
- d) to assist in the strengthening of free enterprise by means of the adjustments made on taxpayers unfairly competing in the market by means of tax fraud.
- e) to ensure an adequate repression and discouragement of tax evasion, of tax delinquency and contraband, of all types of offences ranging up to those representing criminal actions.
- f) to facilitate the understanding of legal provisions and tax regulations by means of personal contacts with the taxpayer.

3.2.3.- Direct Objectives of Tax Audit

- to verify compliance with the obligations of filing and paying taxes, and of providing information.

In what regards the financial aspect, the correct collection of revenue is guaranteed in a timely fashion and this allows for the timely allocation of funds to the implementation of governmental programs which is the essential aim of the State, and which is supplemented in terms of Rational Tax Policy- with the adoption of principles of Fiscal Justice and with the regulation of economic activities for national development.

The attainment of direct objectives ranges from the review of returns and of payment vouchers made at the tax office by means of the comparison of this information with information obtained from other sources, to an in-depth audit of all of the activities of taxpayers made at their domicile. This audit consists of an analysis of operations, entrepreneurial policies and administrative efficiency more than of an analysis of accounting and financial aspects.

These objectives may be attained by means of the following:

- a) qualitative and quantitative controls over taxpayers.
- b) verification of the taxable base.
- c) audit of the assessment made on the tax liability.
- d) audit of the taxpayer's operational system.
- e) adjustment of the tax credit not assessed by the taxpayer.

3.2.4.- Indirect objectives of Tax Audit

-to have a psychological effect on taxpayers that will lead them to improving their future tax behavior.

This type of objective is aimed at the creation of voluntary compliance with tax obligations and it may be attained by the following means:

- a) Advisory and educational action on taxpayers aimed at eliminating problem areas between the Treasury and the taxpayer.
- b) verification of the filing of returns and of their accuracy.
- c) collection of information or proof on the existence of fraudulent intentions.
- d) application of the sanctions established by tax legislation.
- e) enhancement of the tax and of tax administration as important instruments for economic and social development.
- f) creation of taxpayer consciousness on legal responsibilities towards the Treasury.

3.3. Flexibility and Evolution of Tax Audit Objectives

Up until recent times, tax administration was merely considered to be a repressive organization. The present concept of tax administration is that of a complex system formed by different elements and aspects in which objectives are necessarily to be adjusted to the financial, economic and social objectives of the Government.

Time as a factor and as a resource is better taken advantage of in plans for tax administration. Human resources are allocated in accordance with the re-allocation of the available material resources.

New missions are added without rejection of former objectives but these new goals are conceived as a challenge to the ability of auditors to adapt themselves to the constantly changing characteristics of the modern State.

Practical examples may be given on the consolidation of activities entrusted to tax administration and on its ability to carry them out. This flexibility is mainly a result of the type of knowledge acquired by means of audit used as a technique for investigation, by means of Interviews, Personal Observation, Questionnaires and Management Techniques, Accounting, Operational Costs, Tax Legislation, etc.

3.3.1.- Advisory and Educational Action. Technical Advisory Services. The new dimension of Tax Audit.

In the development of its activities, Tax Audit pays special attention to advisory and educational action so as to eliminate problem areas between the taxpayer and the Treasury.

A natural consequence of this advisory action, and a step forward in the integration between the Taxpayer and the Tax Office, was the technical knowledge acquired by tax officials as a result of the nature of their tasks which was utilized for the establishment of a technical advisory service for taxpayers.

This new dimension of tax audit, which was formerly restricted to demanding that the taxpayer comply with his tax obligations and which omitted -on account of tradition in the organization- consideration of the rights and privileges of the taxpayer as provided for under the new tax legislation, was one of the important requirements of development.

These technical advisory services included in the present project are to reach all of the entrepreneurial sector; however, they are to be concentrated (on account of our social-economic situation) at the level of the small and medium sized business concern and they are of course, to be compatible with the national objectives for the acceleration of technological development and for the strengthening of national industry.

The rendering of this service on the part of Tax Audit will allow for decisions to be made on the basis of improving the financial situation, of legitimately decreasing costs, of increasing production, of allowing for access to international trade of the expansion of sources of information, and of the precise enforcement of legal provisions.

Besides the dissemination of information on tax provisions by all types of mass media, individual contacts with the taxpayer allow for an opportunity to inform him on new and or complex regulations. Many taxpayers need advisory services when faced with new tax legislation, and tax administration assigns part of the time of its audit personnel to rendering this service until enough time has gone by as to allow the taxpayer to be well-acquainted with these tax laws.

This type of educational action is as fruitful as strict audit aimed at the application of sanctions.

These tasks performed by the tax system are in accordance with the objectives of Administration both as regards its long and short term objectives, and its quantitative and qualitative aspects.

The flexibility with which we hope to endow tax audit will facilitate the practical implementation of this new facet of tax audit on the basis of the observation of the basic principle of sectorial and selective action that is to add to the instruments available to tax audit at the service of the Policies for National Development.

3.3.2.- Sectorial Analysis

By means of specific questionnaires and of the adequate methodology, a pilot test was carried out in Brazil on the Wine Industry. Tax auditors were assigned to a survey which was based on the following aspects:

- legal constitution and distribution of enterprises.
- economic situation and profitability ratios.
- production and production systems.
- gross revenue, costs and yield.
- tax incentives.
- operational conditions.
- marketing
- resources, immobilizations and capital.
- market (domestic and foreign)
- result of audit programs

These aspects allow for an overall review of the sector and for the drawing of conclusions on the behavior of taxpayers as producers, enterprises and corporations, as well as on the overall economic sector. It may also be of use in fields which are not strictly the tax field, e.g. for decisions made by top Treasury levels which may even be aimed at the merger or incorporation of enterprises.

This was proof of the role of Public Administration in the regulation of the market by means of support and normative tasks benefiting entrepreneurial activity and embodied into the instruments that are adequate for the rendering of technical, financial and managerial assistance.

3.3.3.- Follow up of price increases found in economic sectors

Another model task carried out was the auditing of enterprises aimed at the verification of the enforcement of the price policy set up by the Federal Government. This measure was aimed at attacking abuses in economic power and at de-

creasing inflationary rates. This type of audit is based on the study of price increases, and on information that may be used as an element for the evaluation of the adequacy of adjustments.

It is necessary to keep a given group of taxpayers under audit so as to detect possible distortions in the prices established by the economic sectors, or possible deviations in their compliance with tax obligations. Those showing signs of lack of adaptation to the goals of the economic policy of the Government are spotted, as well as those reluctant to voluntarily comply with their tax obligations.

The data obtained by means of this type of tax audit are valuable contributions to the organization responsible for the control of price increases in the country, and even to the enforcement of any applicable sanctions.

3.3.4.- Promotion of taxes

A practical example of the simultaneous effect of direct and indirect objectives was found by tax administration in the implementation of the NATIONAL CAMPAIGN FOR THE PROMOTION OF TAXATION that brought about very favorable results.

This implementation included two different stages:

Preventive Stage

- a) Promotion of the tax as a valuable instrument for economic development.
- b) Instructions to the taxpayers on how to update irregular situations and on the procedures for assessment of tax liabilities in arrears.
- c) Development of consciousness on the economic advantages offered by faithful compliance with obligations.

Repressive Stage

- a) Calculation of the tax credit not collected from taxpayers and application of sanctions including those applicable to cases of illegal appropriation of indirect taxes, or of taxes withheld at the source.
- b) Verification of tax evasion and issuance of summons on transgressions.

The indirect effects were highly satisfactory as a reflection of increases in collections.

3.3.5 Tax audit of Enterprises with a Greater Participation in Tax Revenue

This is one of the main audit programs which is carried out in a continuous manner both at the offices and in the field.

Orders for the performance of audit tasks on enterprises having a relevant participation in national revenue are based on an analysis of taxpayer rolls made by means of automated data processing.

The indicators used for this selection are derived from deviations from the parameters set on normal results for enterprises in the different economic sectors.

This type of audit has represented important benefits for tax administration since the existence of signs found by means of office audit have resulted in a considerable additional yield.

The program has also been beneficial to enterprises from the point of view of its educational objectives since experience has shown that the concern of entrepreneurs of adapting their enterprises to the standard ratios has been reflected in gains obtained through the exercise of controls and in the reduction of operational costs.

Just as objectives may acquire a new dimension, tax audit may also carry out investigations on:

- production systems
- operational conditions
- economic-financial background data
- costs and profitability
- market and marketing

We may thus infer that it still has the necessary potential efforts and knowledge to provide future managerial assistance on:

- Mechanisms for the granting of tax incentives
- Possibilities for exports
- Possibilities for the establishment of new enterprises and for the expansion of small and medium sized enterprises
- Possibilities for the merger and incorporation of enterprises
- Utilization of Finance Funds in production systems
- Correct use of fiscal documents
- Adaptation of accounting records to the provisions of tax legislation
- Establishment of special automated accounting systems

4. INTEGRATION OF OBJECTIVES

Tax administration is under the responsibility of adapting its objectives to the overall policy of the Government in what concerns economic and social aspects. As a participant in the attainment of the objectives of the State, tax administration formulates plans for the development of activities to allow the State to provide for its needs, particularly as regards the financial program - ming that is indispensable to governmental expenditure.

Tax administration, within this institutional framework, is to attain -by means of pre-established criteria- macro-objectives set forth by the Government in its tax policies as instruments at the service of the public commitments and of economic development and social welfare.

For this reason, it is well known that Tax Administration carries most of the responsibility of providing the resources for the supply of all types of services provided by the State.

Tax audit may be considered to be a segment of the tax phenomenon in view of the manner in which it is implemented. Consequently, an operational organization of the tax system affects tax audit objectives in a twofold manner.

The areas with which tax audit is coordinated in order to ensure the continuity of the work flow within the total system of tax administration, may be identified as being those of:

- Taxation- in what regard the interpretation of tax legislation and the need for guidelines for its enforcement.
- Collections- in what regards tax collections themselves and the analysis of tax yields.

These units define the substantive functions of the tax system and they are supplemented with systems for economic-fiscal information, data processing, supply of personnel, of materials and communications, and of any other type of logistic support required by the circumstances.

We should highlight the essential importance of economic-fiscal information in the performance of tax audit.

All systems are to be under the responsibility of supplying input data that is obtained on a well established basis so that the output of information may provide data that will allow for the rational performance of tax audit tasks.

The existence of basic statistics for tax audit allows for the harmonization of audit policy with the economic policy of the country.

The modern concept of tax administration is within a context including problems of all magnitudes.

These problems are originated in the aim of the Government of harmonizing financial objectives with economic and social objectives in a continuous search for solutions to simultaneously satisfy the different interest of institutions within public administration of taxpayers and of public opinion.